



NAME _____ DATE _____ **Notes: Credit Reports**

List the 5 things from the video you should know about your credit score.

1. Payment History - Pay on time?
2. How much do you owe?
3. Credit History -
4. Credit Types - need a good mix
5. Recently opened accounts

Determine if the given information is included in a credit report. Place a check mark in the appropriate column.

Information	Is included	Is not included
The highest balance and required monthly payment information for closed and open credit card accounts	✓	
Checking and savings account balances		✓
A credit score	✓	
Payment history of all accounts, open and closed	✓	
Employment history	✓	
Income tax information		✓
Recent credit inquiries	✓	

Why is it important to keep track of the information contained in one's credit report?

To make sure it's accurate

For how long is information retained in a credit report? 7-10 years

Identify each statement as **true** or **false**. If the statement is false, **correct it by writing a true statement**.

1. Lenders only look at credit scores of teenagers. <u>everyone</u> F-	2. Establishing a positive credit history allows you to borrow money for houses and cars. True
3. Making late payments would be a likely cause for a low credit score. True	4. People should check their credit report periodically. True
5. Making late payments helps maintain a positive credit history. <u>on time</u> False	6. A low credit score would most likely reduce your chances of qualifying for a loan. True

Complete each exercise using what you know about credit reports.

7. Identify the two borrowers least likely to be offered a loan, if the decision were solely based on their credit scores. P. Lori and S. Spade would be **least** likely to be offered a loan because their scores are below 700

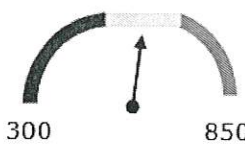
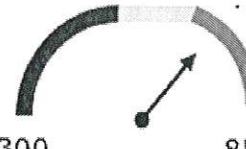
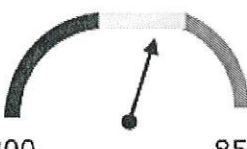
Name	Credit Score
P. Lori	490
S. Spade	510

Name	Credit Score
R. Como	800
D. Panton	810

8. Identify the two borrowers most likely to be offered a loan at a lower interest rate, if the decision were solely based on their credit scores. L. Strong and S. Blake would be **most** likely to be offered a loan because Their scores are over 800

Name	Credit Score
L. Strong	815
S. Blake	820

Name	Credit Score
J. Bono	630
G. West	690

	Mr. Wright	Mr. Johnson	Mr. Rodriguez	Mr. Yang
Credit Score	Poor – 605 	Good – 742 	Fair – 647 	Good – 795 
Open Accounts	27	24	21	13
Credit Utilization	46%	13%	24%	14%
Missed Payments	5	0	1	0
Credit Inquiries	10	2	0	1
Down Payment	\$5,000	No down payment	\$1,000	No down payment
Interest Rate	13.5%	2.99%	6.5%	1.75%
Monthly Payments	\$916.25	\$574.86	\$606.55	\$557.40
Length of Loan	36 months	60 months	60 months	60 months
Total Cost of Car	$\begin{array}{r} 916.25 \\ \times 36 \\ \hline 54975.00 \\ 274875.00 \\ \hline 329850.00 \\ + 5000.00 \\ \hline \mathbf{\$37,985} \end{array}$	$\begin{array}{r} 574.86 \\ \times 60 \\ \hline 34491.60 \\ + 1000 \\ \hline \mathbf{\$34,491.60} \end{array}$	$\begin{array}{r} 606.55 \\ \times 60 \\ \hline 36393.00 \\ + 1000 \\ \hline \mathbf{\$37,393} \end{array}$	$\begin{array}{r} 557.40 \\ \times 60 \\ \hline 33444.00 \\ + 1000 \\ \hline \mathbf{\$33,444} \end{array}$